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CASE #	CASE NAME	HEARING NAME
CVPS2301515	NEW GENERATION INVESTMENTS, LLC VS PALM 10 ASSOCIATES, LLC	MOTION FOR ATTORNEYS FEES BY PALM 10

Tentative Ruling: Denied.

Plaintiff/Cross Defendant to provide notice pursuant to CCP 1019.5.

Defendant/Cross-Complainant, Palm 10 Associates, LLC (Palm 10), brings this motion for attorneys' fees pursuant to the Vacant Land Purchase Agreement (VLPA) entered into between Palm 10 and New Generation, seeking \$383,629.50. (Civil Code § 1717(b)(1).) Palm 10 argues that it is the prevailing party because it obtained the greater relief on the contract – it was allowed to keep the \$1.5 million in deposit and extension monies and obtained a release of its lis pendens wrongfully recorded against Palm 10's property.

New Generation opposes the motion arguing that Palm 10 has not established it was the prevailing party for purposes of Civil Code § 1717; that each party did not obtain a "simple, unqualified victory"; that Palm 10 was actually awarded nothing; that this motion fails on the independent ground that Palm 10 did not establish its fees were reasonable and necessary - no details of its attorneys' fees were provided; and, Palm 10 has not distinguished its fees in defending New Generation's Complaint from those incurred in prosecuting its own Cross-Complaint.

Attorney Fees

In general, California follows the "American Rule" regarding entitlement to attorney's fees, whereby each party bears its own attorney's fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney's fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702. The court may properly award attorney's fees when a contract provides for the allowance of attorney's fees and suit is instituted to enforce the provisions of the contract: the trial court decides who is the prevailing party, and fixes attorney's fees pursuant to Civil Code § 1717. Section 1717 applies to contract provisions for the recovery of attorney's fees, whether such provisions are unilateral (that is, allowing only one party to recover), or reciprocal (such as one allowing recovery by a "prevailing party"). (*Santisas vs. Goodin* (1998) 17 Cal. 4th 599, 614).

Palm 10 brings this motion pursuant to Civil Code § 1717(b)(1) as the prevailing party who obtained the greater relief in the action on the contract. Palm 10 argues that it obtained "a simple unqualified victory by completely prevailing on or defeating, all contract claims" and noted that the VLPA (contract) provides for reasonable attorneys' fees. (*Scott Co. of Calif. v. Blount, Inc.* (1990) 20 Cal.4th 1103, 1109.) Palm 10 asserts it is the prevailing party because it was allowed to keep the \$1.5 million in deposit and extension monies and obtained a release of its lis pendens wrongfully recorded against Palm 10's property so, Palm 10 obtained the greater relief.

However, where "neither party achieves a complete victory on all the contract claims, it is within the trial court's discretion to determine which party "prevailed" on the contract." (Weil & Brown, CPG: Civ. Proc. Before Trial (TRG 2026) § 17:837 citing *Scott Co., supra*.) Moreover, if the case goes to trial, the award of costs and fees is *discretionary* with the court: "The court may also determine that there is *no party prevailing* on the contract" (*Id.* § 17:868 citing Civil Code § 1717(b)(1).) "This allows the court to withhold fees where the outcome is a "draw" as a practical

matter, although one party may be “technically speaking” a prevailing party for purposes of court costs.” (*Id.* citing *Hilltop Investment Assocs. v. Leon* (1994) 28 Cal.App.4th 462, 466.) “This determination is appropriate where both parties seek relief but neither prevails; or where the ostensibly prevailing party received only part of the relief sought. In such cases, the judgment is “considered [both] good news and bad news to each of the parties.” (*Id.* § 17:869 citing *Hsu v. Abbata* (1995) 9 Cal.4th 863, 874-875.)

“But it is an abuse of discretion to award fees to a party who prevailed on a minor “battle” but who lost the “war” (the main issue in the action).” (*Id.* citing *Artesia Med. Dev. Co. v. Regency Assocs., Ltd.* (1989) 214 Cal.App.3d 957, 966.) “Where relief was denied on both the complaint and cross-complaint, in cross-actions on the same contract, the court decided there was *no* prevailing party under Civ. Co. § 1717. The fact the defendant was the prevailing party under CCP § 1032 for purposes of recovering its court costs was irrelevant.” (*Id.* § 17:870 citing *McLarand, Vasquez & Partners, Inc. v. Down Sav. & Loan Ass’n* (1991) 231 Cal.App.3d 1450, 1456.)

Here, the “Defense Judgment” was filed on 3/16/26, and entered on 3/24/26. It attaches the jury’s verdict as Exhibit “A”. As to New Generation’s Complaint, the jury found no liability by Defendants, Palm 10, Harvey, and Desert Pacific Properties (DPP) to New Generation’s Complaint. (Defense Judgment p. 17 of 21.) The jury also found no liability by New Generation as to Palm 10’s Cross-Complaint. (*Ibid.*) The verdict further provided that New Generation “shall take nothing” from Palm 10, Harvey, and DPP for its claims asserted in its Complaint. (*Ibid.*) And, Palm 10 “shall take nothing” from New Generation. (*Ibid.*)

Palm 10 argues that it was the prevailing party because it obtained the greater relief by being allowed to keep the \$1.5 million in deposit and extension monies and obtaining a release of its lis pendens wrongfully recorded against Palm 10’s property. However, the Judgment is clear that both Palm 10 and New Generation took nothing on their respective actions. These circumstances do not indicate that New Generation obtained the greater relief to make it the prevailing party on the contract claims. New Generation is, therefore, not entitled to attorneys’ fees.

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CASE #	CASE NAME	HEARING NAME
CVPS2405026	ALLEN VS DESERT ORTHOPEDIC CENTER, A MEDICAL GROUP, INC.	MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION ON COMPLAINT OF ANDREW ALLEN BY DESERT ORTHOPEDIC CENTER, A MEDICAL GROUP, INC., HAZMER CASSIM, DR. STEPHEN O'CONNELL

Tentative Ruling: Granted.

Moving Defendants to submit proposed judgment within 10 days of this order becoming final.

Moving Defendants to provide notice pursuant to CCP 1019.5.

This is a wage and hour action.

On August 9, 2024, Plaintiff Andrew Allen (“Plaintiff”) filed a Complaint against Defendants Desert Orthopedic Center, a Medical Group (“Desert Orthopedic”), Hazmer Cassim (“Cassim”), and Dr. Stephen O’Connell (“O’Connell”) (together “Defendants”) for: (1) failure to pay all wages, including overtime; (2) inaccurate wage statements; (3) failure to provide meal periods; (4) failure to provide rest periods; and (5) violation of Bus. & Prof. Code § 17200. In the Complaint, Plaintiff alleges